When does a bond beat a bank loan?

Pampa Energía, YPF and Vista, 2023-2025: balance sheets, debt, bonds and stress

Internal rating and 2025 ratios

Company	Rating 2025	Rating under stress	Net debt / EBITDA	EBITDA / interest	Current ratio	Bonds / debt
Pampa	BBB	BB	1.1x	5.5x	3.1x	96%
Vista	BBB	BB	1.8x	9.4x	0.9x	77%

All three fund themselves in the market

Between 77% and 96% of their debt is bonds. Banks provide short tenors and pre-financing.

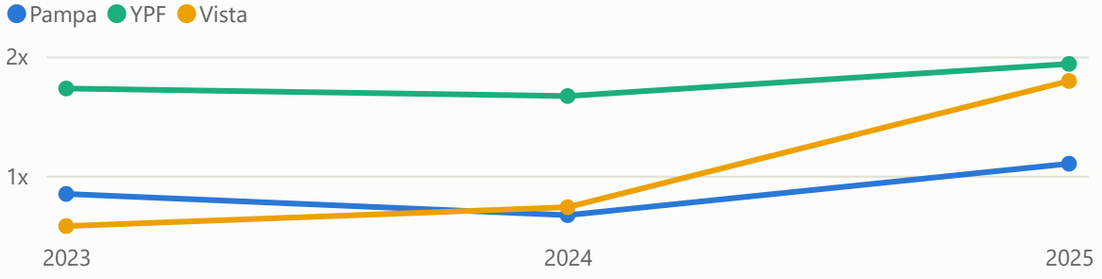
Country risk drives the instrument

At 2,000 points, the probability of issuing dollar-linked is 58%; at 700, 3%.

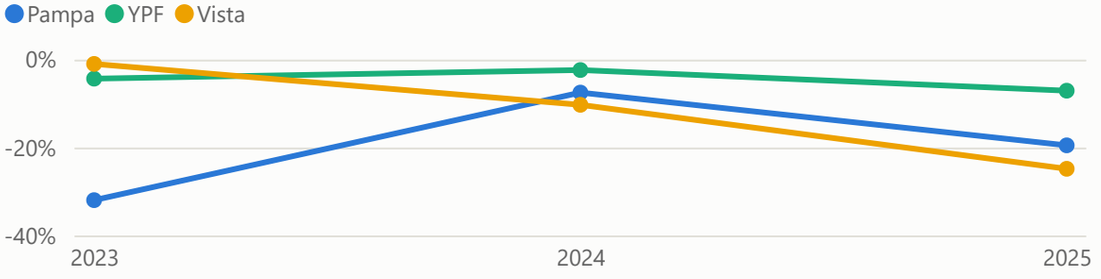
The risk is refinancing

Under stress, Pampa cannot cover maturities with its own cash. Recommendation: up to US$ 110 M, 3 years, for Pampa.

Net debt / EBITDA



Free cash flow / debt: all three invest more than they generate



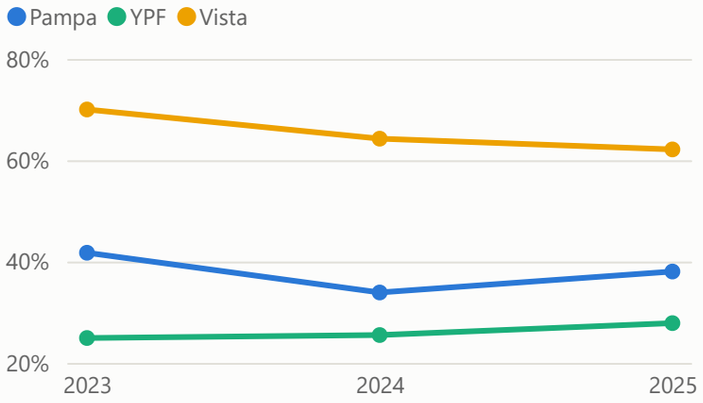
Sources: 2025 20-F of Pampa and YPF, Vista's financial statements, ArgentinaDatos, FRED, BCRA and datos.gob.ar. Ratings: internal scale, no sovereign ceiling.

Profitability, leverage and liquidity

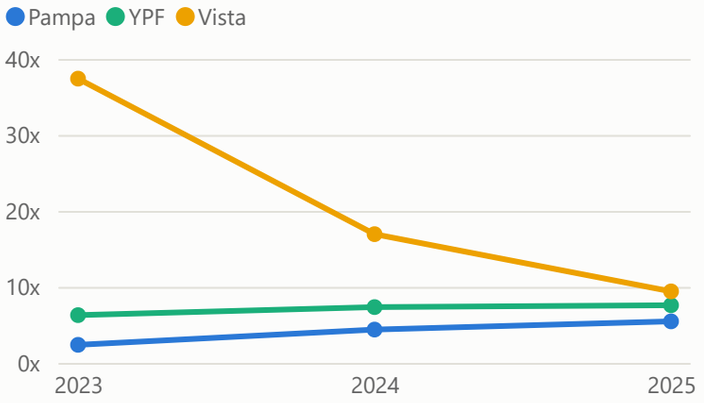
Metrics calculated in SQL from the financial statements, with the same definition for all three

Company: All

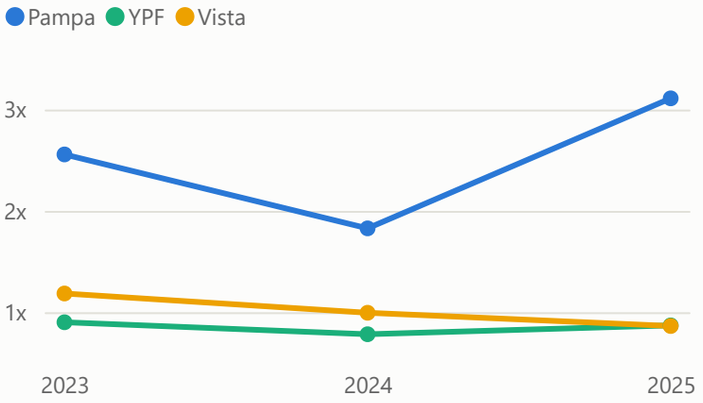
EBITDA margin



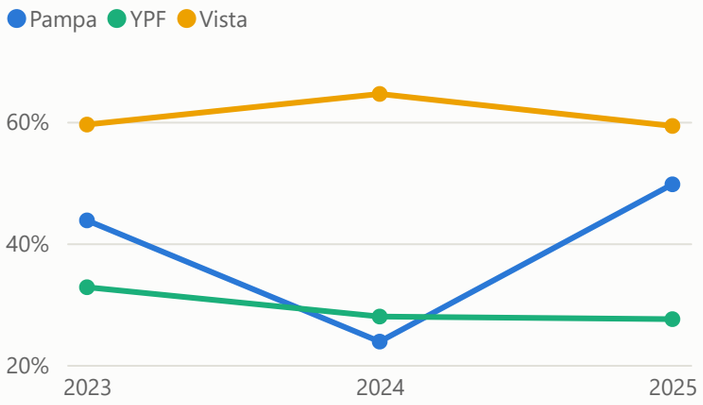
EBITDA / interest



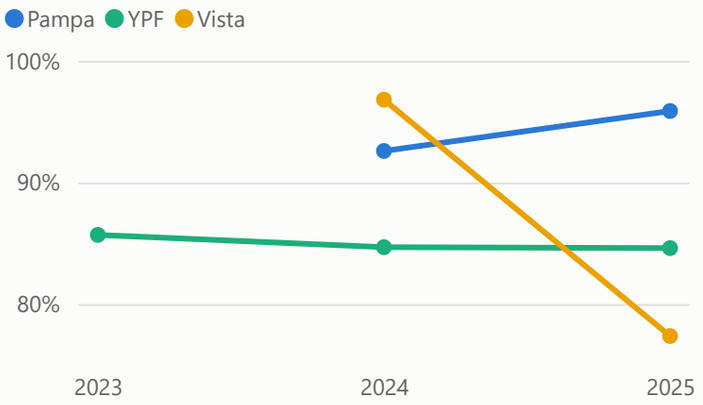
Current ratio



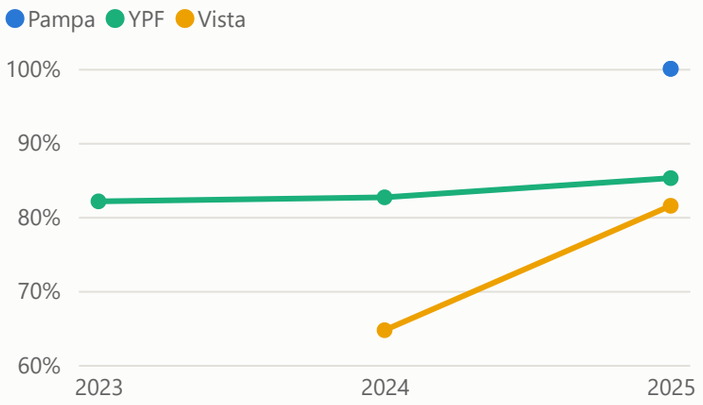
Capex / sales



Bonds / financial debt



Dollar debt / financial debt



Own EBITDA: excludes associates and one-off results. Pampa and Vista do not detail their 2023 debt.

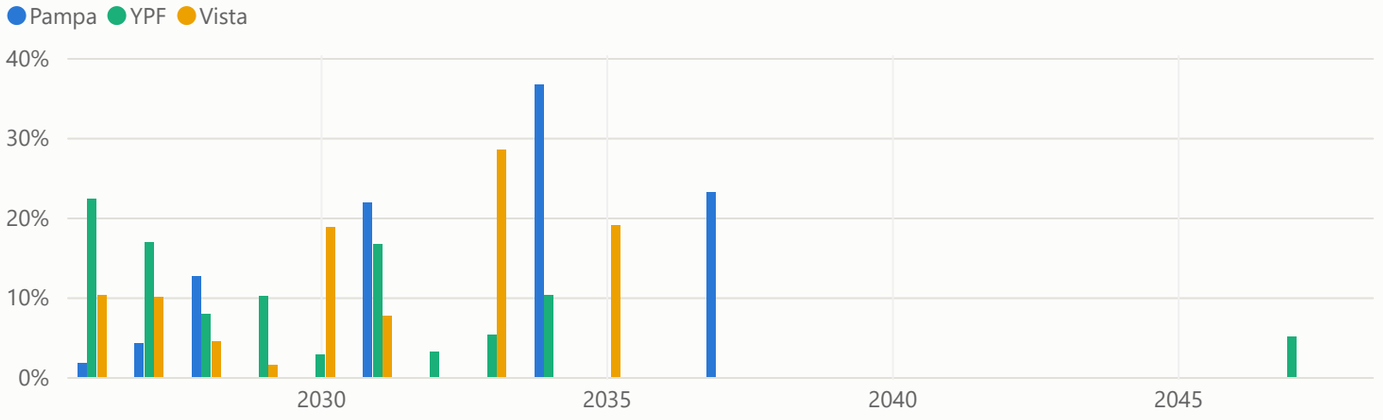
When debt matures and where the cash goes

With its cash, Pampa covers everything maturing until 2033; YPF faces 2.0x its cash in 2026

Company

All

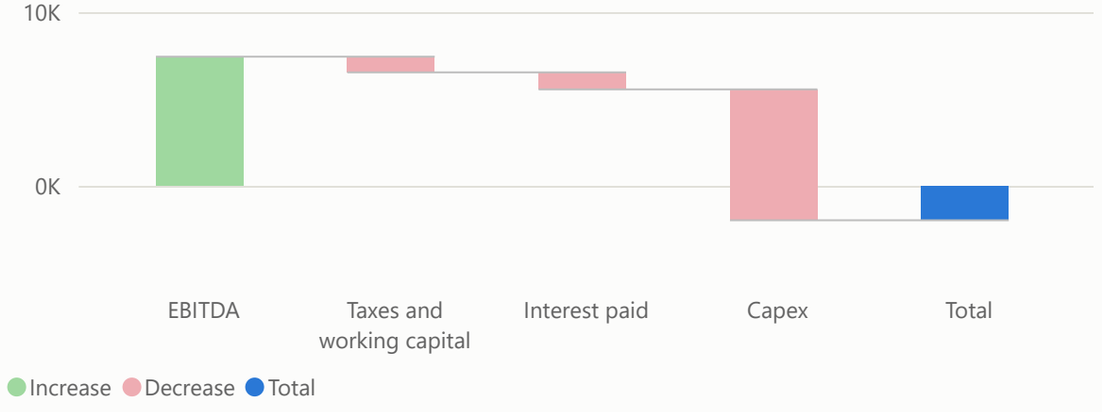
Share of end-2025 debt maturing each year



DuPont 2025: ROE = net margin x turnover x leverage

Company	ROE	Net margin	Turnover	Leverage
Pampa	10.5%	18.9%	0.30	1.8x
YPF	-7.2%	-4.3%	0.63	2.7x
Vista	28.6%	29.1%	0.35	2.8x

From EBITDA to free cash flow, 2025 (US$ M; pick a company)



If the market closes: how long cash lasts

Company	Cash and investments	Maturing in 2026	Cash / 2026 maturities	Years of maturities covered by cash
Pampa	1,091	32	34.1x	8
Vista	538	322	1.7x	1
YPF	1,195	2,355	0.5x	0

Maturities: debt notes of the 20-F filings and Vista. YPF reports only each bond's maturity year and groups its loans by range of years.

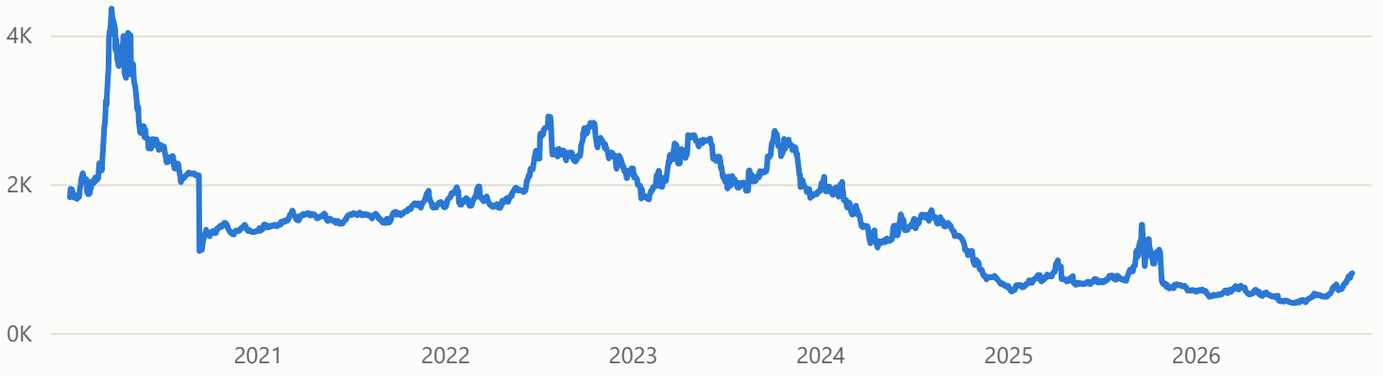
With high country risk, they issued dollar-linked bonds

42 bonds from 2021 to 2025, with country risk on the issue date

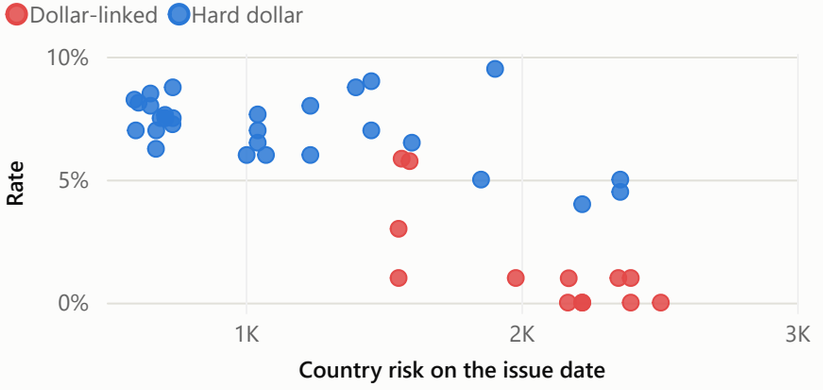
Company

All

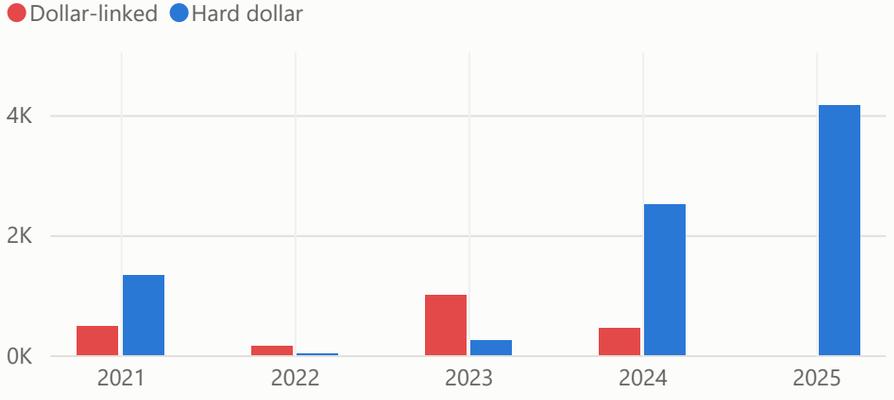
Daily country risk (basis points)



No dollar-linked bond below 1,500 points; probability at 2,000: 58%



Amount issued by year and instrument (US$ M)



Bond detail

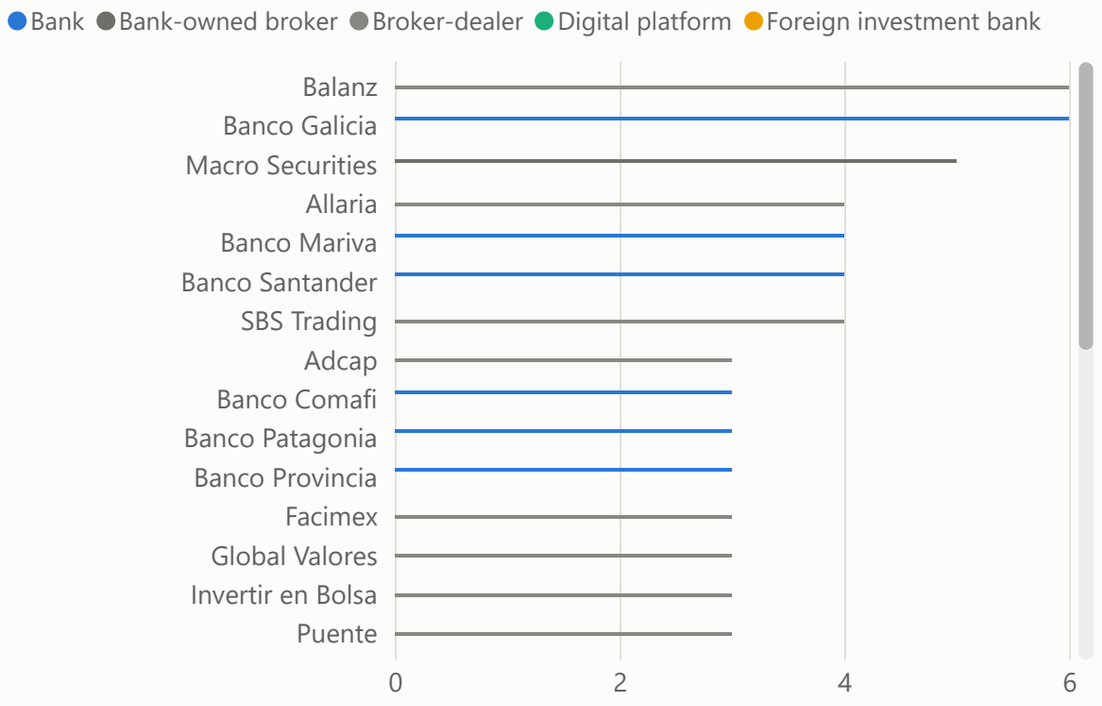
Company	Class	Date	Instrument	US$ M	Rate	Country risk	Premium vs. country risk (bp)
YPF	Clase XLII	2025-12-15	Hard dollar	195	7.00%	602	-254
Pampa	Clase 26	2025-11-14	Hard dollar	450	8.13%	612	-213
Vista	ON XXX	2025-10-15	Hard dollar	73	6.00%	1,004	-765
YPF	Clase XLI	2025-10-08	Hard dollar	98	6.00%	1,074	-840
YPF	Clase XL	2025-08-15	Hard dollar	51	7.50%	709	-332
Pampa	Clase 25	2025-08-06	Hard dollar	105	7.25%	735	-373
YPF	Clase XXXIX	2025-07-15	Hard dollar	225	8.75%	736	-266

Rate: issue yield when reported, otherwise coupon. Vista and YPF dates: reported month. Negative premium: the company borrowed below the sovereign.

What role is left for banks and fintechs

Placement agents of 6 bonds with a notice available: banks place and distribute; they lend mostly short term

In how many of the 6 placements each entity took part



Entities by type in each placement

Company	Class	US$ M	Banks	Brokers	Platforms	Foreign
Pampa	Clase 25	104.60	4	6	1	0
Vista	ON XXIX	900.00	2	2	0	3
Vista	ON XXV	53.20	4	6	0	0
Vista	ON XXVIII	92.41	6	10	0	0
YPF	Clase XLI	98.00	6	10	1	0
YPF	Clase XXXIX	225.00	8	10	1	0

Company

Hard dollar from 597 points of country risk; dollar-linked only above 1,555. Banks for short tenors and pre-financing.

Bank

Places without taking the risk: Balanz and Banco Galicia were in all of them. Lending in dollars earned about 4.9 points over time deposits in 2025.

Fintech

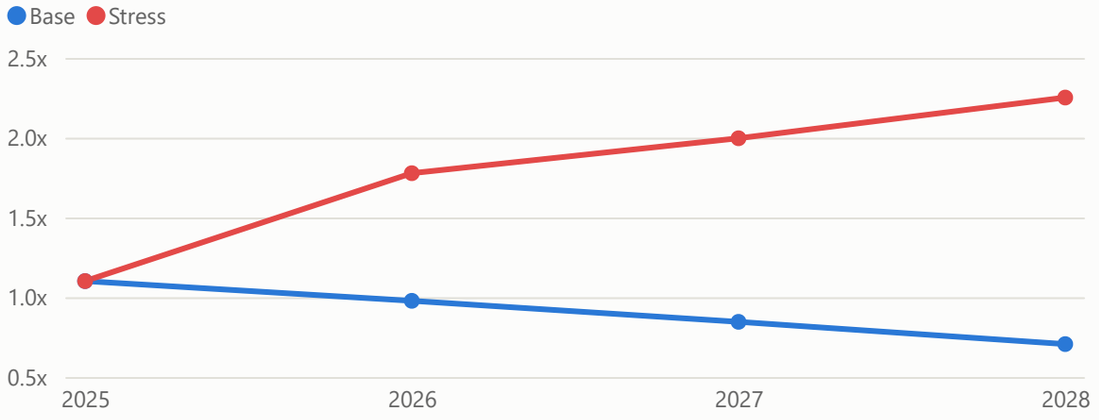
Does not lend to them: it distributes. Digital platforms were in 3 of the 5 local bonds in the sample.

Sample: 6 of the 42 bonds, those with a results notice or supplement available. Initial purchaser: investment bank that buys the bond to resell it abroad.

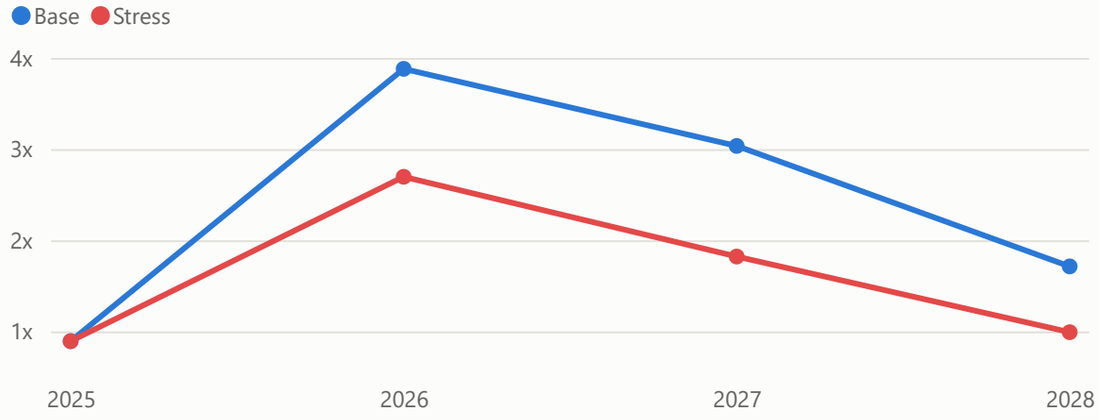
Can it pay if growth stops and debt gets more expensive?

Stress: sales -20% in 2026, margin 5 pp lower and new debt 4 pp more expensive

Pampa: net debt / EBITDA, assumed covenant at 3.5x



Pampa: debt service coverage (below 1x it depends on refinancing)



Worst year of the stress scenario, by company

Company	Worst net debt / EBITDA	Worst EBITDA / interest	Worst debt service coverage	EBITDA headroom (base)	Rating under stress
Pampa	2.3x	3.2x	1.0x	69%	BB
Vista	2.9x	3.7x	1.2x	49%	BB
YPF	3.1x	3.3x	1.3x	45%	BB

Base: 2025 sales and margin, capex equal to depreciation. Funding needs are covered with new debt. Charts show Pampa, the company in the memo.